

OKLO · FY2026 Q1

2026-05-12

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Conference Call Operator

Jake DeWitt

Co-Founder & Chief Executive Officer

Craig Bellmer

Chief Financial Officer

Derek Soderbergh

Analyst at Cantor Fitzgerald

Jeffrey Campbell

Analyst at Seaport Research Partners

Sameer Joshi

Analyst at H.C. Wainwright

Sam Doan

Senior Director of Investor Relations

Jake DeWitt

Co-Founder & Chief Executive Officer

Brian Lee

Analyst at Goldman Sachs

Jed Dorsheimer

Analyst at William Blair

Ryan Fingst

Analyst at B. Riley Securities

Sharif El Maghrabi

Analyst at BTIG

OPERATOR Conference Call Operator

Hello, everyone. Thank you for joining us, and welcome to Oklo First Quarter 2026 Financial Results and Webcast. After today's prepared remarks, we will host a question and answer session. If you would like to ask a question, please press star 1 to raise your hand. To withdraw your question, press star 1 again. I will now hand the conference over to Sam Doan, Senior Director of Investor Relations. Sam, please go ahead.

SAM DOAN Senior Director of Investor Relations

Thank you, operator. Good afternoon, everyone, and welcome to Okla's first quarter 2026 earnings and company update call. I'm Sam Doan, Okla's Senior Director of Investor Relations. Joining me today are Jake DeWitt, Okla's co-founder and chief executive officer, and Craig Bellmer, our chief financial officer. Today's accompanying slide presentation is available on the Investor Relations section of our website. After my opening remarks and the forward-looking statement disclosure, Jake will walk through our business update and strategic progress, and Craig will cover our financial results and closing remarks. I'd like to remind everyone that today's discussion, including our prepared remarks and the Q&A session that follows, will include forward-looking statements. These statements reflect our current views regarding trends, assumptions, risks, uncertainties, and other factors that could cause actual results to differ materially from those discussed today. We encourage you to review the forward-looking statements disclaimer included in our supplemental slides. Additional information on relevant risk factors can also be found in our most recent filings with the SEC. Please note that OCL assumes no obligation to update any forward-looking statements as a result of new information, future events, or otherwise except as required by law. With that, I'll now turn the call over to Jake.

JAKE DEWITT Co-Founder & Chief Executive Officer

Thank you, Sam. And thank you everyone for joining us today. Before we get into the quarter, I want to step back briefly. It has been almost exactly two years since Oklo became a public company. And since that time, there has been incredible progress at Oklo and for the industry as a whole. For Oklo, the story has increasingly moved from strategy to execution. Since becoming a public company, we have built a customer pipeline across data centers,

industrials, energy, and government customers. We have advanced major customer relationships, including switch and meta. We broke ground on our first Aurora powerhouse at Idaho National Laboratory, advanced site work, procurement, and Department of Energy authorization for Aurora INL, and continue to make progress with the Nuclear Regulatory Commission, including approval of our principal design criteria topical report. We also advanced Aurora, Ohio, including plans with Meta for a 1.2 gigawatt power campus, while continuing to expand the fuel infrastructure needed to support deployment. This includes progress on the Aurora Fuel Fabrication Facility at INL, the Tennessee Advanced Fuel Center, and our Fast Spectrum Plutonium Criticality Experiments. On the isotope side, we acquired Atomic Alchemy, built the Groves test reactor facility in 229 days, and we are developing our first isotope customer contracts for offtake from the Radiochemistry Laboratory. And importantly, we strengthened the balance sheet to support deployment and long-term growth. Oklo is no longer just preparing for deployment, we are actively building the platform to support it. The broader environment continues to move in a direction that is providing tremendous momentum and supports our strategy. We are seeing U.S. nuclear tailwinds shift from policy endorsement to execution, which manifests across power markets, fuel recycling, and now into space travel and exploration. The White House launched the National Initiative for American Space Nuclear Power, and the DOE has been directed to assess readiness for up to four space reactors within five years. That is a very strong signal that nuclear is increasingly being viewed as strategic infrastructure beyond the grid, beyond this planet, and beyond this century. Our business touches several of the world's expanding needs. Almost every incredible thing we have done in space has been powered by isotopes, and that will most likely continue to be true, which means isotope production, fuel development, compact reactors, and materials testing are all relevant markets. And even before permanent space reactors are deployed, our isotope business can support space applications through radioisotope materials for systems like radioisotope thermoelectric generators, which are used to provide reliable power in extreme environments. At the same time, PJM continues to highlight the need for new firm supply, including bridging a potential 50 to 60 gigawatt capacity shortfall over the next decade and a proposed reliability backstop procurement framework. That supports our view that co-located and campus-style deployment models can be an important part of serving large loads and also underscores why we are progressing deployment of power assets in power park-type-like locations, such as those we are developing in Southern Ohio. Demand continues to build for reliable baseload power. And on the fuel side, the DOE has issued requests for applications to advance privately funded used nuclear fuel recycling, while states are increasingly competing to host integrated nuclear campuses that can support clean, reliable, and affordable energy at scale. Together, these developments reinforce the idea that used fuel should be viewed not as a liability, but as a strategic domestic energy resource. We are also seeing ongoing innovation at the NRC to expand the licensing pathways available to small advanced reactors, which helps accelerate deployment. Part 57 is designed around faster, repeatable deployment of microreactors and smaller advanced reactors. The NRC has discussed targeted licensing and deployment timelines of 6 to 12 months. That is a very different cadence from traditional nuclear licensing frameworks we were discussing just a few years ago. Part 57 also proposes fleet-based licensing and more standardized reviews for smaller repeatable reactors, which could significantly streamline future licensing for projects with multiple same-kind assets, aligning with Oklo's repeatable deployment multiple powerhouse campus-style development approach. Part 57 also appears to leverage DOE and Department of War authorized operating experience to reduce duplicative NRC reviews. That is important because our initial deployments of DOE authorized assets will generate real engineering, construction, safety, and operating experience. And that experience may inform and streamline future NRC reviews, enhancing the strategy value of those early asset deployments. The NRC has also finalized Part 53, an important modernization step because it creates a risk-informed, technology-inclusive framework for advanced reactors, though the development of the proposed Part 57 may be even more directly relevant and beneficial for Oklo. NRC modernization is moving in a direction that appears highly aligned with Oklo's targeted fleet deployment model of advanced reactors with repeatable designs. Two years ago, the advanced

nuclear conversation was still largely about policy support, customer interest, and long-term potential. Today, the conversation at Oklo is increasingly about execution. We are advancing licensing pathways across three businesses, securing multiple fuel pathways, converting demand into deployable, repeatable projects, and deploying and operating assets to meet that demand. We believe that Oklo is well positioned to meet market demand as an integrated platform across three business units, power, fuel, and isotopes. Power as the anchor product, clean, reliable baseload power and heat delivered through our Aurora powerhouses. Fuel is the enabler, fabrication, recycling, and multiple fuel supply pathways that support deployment. and isotopes that expand the platform into high-value domestic market sectors that will supply products for critical uses, including space, defense, industrial, and most importantly, healthcare. These are complementary businesses with capabilities designed to reinforce each other over time. That integration is central to how we believe Oklo can scale. And we are in action, building assets across all three of our business verticals as we speak. On the power side, we have Aurora INL, our Aurora powerhouse at Idaho National Laboratory. Aurora, Ohio, our planned 1.2 gigawatt clean energy campus, and Aurora Eielson, a cogeneration project planned to provide heat and power for Eielson Air Force Base in Alaska. On the fuel side, we have the Aurora Fuel Fabrication Facility at INL and the Advanced Fuel Center in Tennessee, which begins with our first phase, a used nuclear fuel recycling facility. We are also developing plans for the potential use of plutonium-based fuels as a bridge fuel. And in isotopes, we have Groves, our radioisotope test reactor, which is targeting criticality by July 4th of this year, and the Idaho Radiochemistry Laboratory, which already has an NRC license and is working toward generating early commercial isotope revenue starting in 2026. We are actively executing across all three business units of our vertically integrated nuclear platform, building the infrastructure, fuel pathways, licensing strategies, supply chain strategies, and commercial capabilities needed to deploy repeatedly. We used this slide last quarter, but it is worth revisiting briefly because it is a helpful reminder of how the pieces fit together. In the conventional nuclear value chain, mining, enrichment, power generation, and long-term waste storage are fragmented across different parties. Oklo's model is designed to connect fuel fabrication, power production, fuel recycling, and isotope production into an integrated loop. Power creates fuel demand. Recycling supports long-term supply. Recovered materials can support isotope opportunities. So this is a quick reminder, but an important one. Power, fuel, and isotopes are all synergistic capabilities, not separate strategic directions. We believe Oklo is the key player in the nuclear sector advancing the strategic integrated business model. Since our last company update just eight weeks ago, we've continued to make progress across all three business units. In power, Aurora INL has submitted the Preliminary Documented Safety Analysis, or PDSA, for review with the Department of Energy, Advanced Procurement and Site Development, and received approval from the NRC for our Principal Design Criteria Topical Report. Aurora, Ohio has moved forward with PJM interconnection applications. For Aurora-Eielson, site characterization has been initiated. And with Project Pluto, we announced a strategic partnership project with Battelle Energy Alliance and Idaho National Laboratory for an industry-leading initiative to integrate AI into reactor and fuel system design. In fuel, early construction activities at A3F are underway and final design deliverables are complete. The Tennessee fuel recycling facility continues through application readiness review with the NRC, and site preparation continues. We also announced a collaboration with NVIDIA and Los Alamos National Laboratory to support fuel validation work for plutonium-bearing fuels. And in isotopes, Groves has its PDSA in review, has its DSA submitted, and received a Certificate of Substantial Completion for Construction. The Idaho Radiochemistry Laboratory is also advancing our first customer contract, paving the way for potential revenue generation in 2026. Across the company, our mindset has shifted toward asset deployment, which is supporting asset delivery across all three business units, enabled by multiple regulatory pathways and unlocking several growing potential revenue opportunities. First, we'll start with the fuel business updates. Fuel availability is one of the most important gating items for advanced nuclear deployment and is one of the areas where Oklo has spent years building differentiated capabilities and optionality. A3F is the Aurora Fuel Fabrication Facility at INL, which will be fabricating fuel for the Aurora INL and supporting

future Aurora deployments. On the DOE authorization side, A3F has received approval for its Nuclear Safety Design Agreement, or NSDA, and its Preliminary Documented Safety Analysis, or PDSA. The next milestones are approval of the Documented Safety Analysis, or DSA, completion of the readiness review, and startup approval. On execution, early construction activities are complete, final design deliverables are complete, and the next major execution milestone is expected to be the construction contract award. The Tennessee Advanced Fuel Center is our first major step toward long-term recycling capability. Site preparation activities continue in Tennessee, technology development continues to mature the design, and the NRC application readiness review continues. As of April 2026, the Department of Energy has initiated an accelerated private sector-led pathway for nuclear fuel recycling, moving away from the once-through cycle toward reprocessing for advanced reactors. We will continue to evaluate the right pathway as the project advances. We also announced a collaboration with NVIDIA and Los Alamos National Laboratory to advance nuclear fuel validation. We see this collaboration as a potential key strategic enabler because it brings together OKLO's fast reactor platform, NVIDIA's AI infrastructure, and Los Alamos' fuel and materials expertise. The collaboration supports AI-enabled modeling, digital twins, and validation work for plutonium-bearing fuels. It also advances fuel development for Pluto, one of our DOE reactor pilot program projects. The broader significance is that AI can help accelerate nuclear development, while nuclear can provide firm power for AI infrastructure. In this case, the collaboration links advanced nuclear power, AI-enabled research, and nuclear fuel R&D, and it supports the technical foundation for plutonium-bearing fuel work. It is another example of how our power and fuel strategies are connected to some of the most important infrastructure needs in the market today. Moving now to power asset updates. Aurora INL remains the anchor of our power deployment strategy, and we are advancing regulatory procurement and site work in parallel. On the DOE side, we have executed the Other Transaction Agreement, or OTA, and received approval for the Nuclear Safety Design Agreement. The Preliminary Documented Safety Analysis is currently in review, and the next milestones are approval of the Documented Safety Analysis, completion of the Readiness Review, and startup approval. The DOE pathway allows us to continue advancing construction, procurement, and system integration while the project moves through authorization. At the same time, and as we have noted in previous updates, we continue to work with the NRC in parallel as demonstrated by the NRC's approval of the Principal Design Criteria Topical Report for the Aurora INL. This approval is important because it establishes the fundamental safety, reliability, and performance requirements that can guide future reactor licensing and design activities. It also clears the path for the report to be referenced in future applications, reducing the need to re-review established material. To be clear, that is the point of parallel pathing our regulatory approach. We are using the DOE pathway to move the first asset forward while continuing NRC work that supports broader commercial licensing and future repeatability. On the site, field execution continues at INL, including the transition to deep foundation excavation, long lead procurement work is advancing across major systems, and supplier engagement is progressing for the reactor module and the balance of plant needs. We also announced a strategic partnership project with Patel Energy Alliance, the management and operating contractor for INL, to use AI technologies to accelerate advanced reactor and fuel system design work. The project will apply INL's Prometheus AI platform to support AI-enabled engineering workflows, modeling, simulation, and technical documentation, including work related to Pluto, which is a plutonium-fueled powerhouse. Together the regulatory progress site execution and AI enabled design work are all aimed at accelerating deployment, while improving engineering efficiency. At Aurora, Ohio, we continue to advance campus development and permitting readiness. Meta and Oklo announced plans earlier this year to develop a 1.2 gigawatt advanced nuclear power campus in Ohio. And this quarter, Oklo submitted PJM interconnection applications as part of the most recent cluster study, which is key to overall site development and project deployment timelines. We are continuing to look for avenues to enhance site differentiators as we advance the Ohio campus and broader development strategy. We also continue coordination with regulatory bodies to support permitting site readiness and project scope alignment, while advancing engagement across community policy and commercial

stakeholders in Ohio. Aurora Eielson represents a different but highly strategic power use case. The Defense Logistics Agency Energy, on behalf of the Department of the Air Force, issued a notice of intent to award to Oklo. The project is an Aurora-derived powerhouse planned for Eielson Air Force Base in Alaska. Site characterization is ongoing, with ground investigations expected to begin this summer. The project is planned to deliver and meter at least five megawatts of electric power, with the primary use case for the asset being the delivery of steam for district heating, integrating with existing base energy infrastructure. Strategically, this demonstrates distributed nuclear for mission-critical defense operations. It is not only about electricity, it is also about heat, resilience, and energy security in a demanding operating environment. It expands Aurora applications beyond commercial campuses and supports the broader case for resilient nuclear power. The last asset updates are on our isotope projects. This business continues to move from development toward near-term operations and commercial activity. This quarter, we completed construction activities for the Groves facility, receiving a Certificate of Substantial Completion for construction for this greenfield facility in just 229 days. That timing matters and is foundational to our strategy. Nuclear is often viewed as slow by default. Groves demonstrates that with the right design, scope, supply chain, authorization pathway, and commercial mindset, nuclear assets can move much faster than people may expect. And the implications go beyond Groves itself. The lessons we are learning around procurement, construction, installation, regulatory sequencing, and commissioning will inform how we deploy future nuclear assets across the platform. On the DOE authorization side, Groves has executed its OTA and received approval for its NSDA. The PDSA is in review and the DSA has been submitted. The next milestones are completion of the readiness review and startup approval. From an execution standpoint, the focus now is in final installation of reactor equipment, integrated system testing, and fuel delivery with the target of July 4th, 2026 criticality. We are pleased with the pace of progress and Groves is helping show what a faster model for nuclear asset deployment can look like. The second isotope update is the Idaho Radiochemistry Laboratory. This is an NRC authorized facility. Okla received its NRC material handling permit earlier this year, which enables the processing and handling of licensed radioactive materials and supports early commercial isotope activities. This facility gives us the ability to safely process, handle, and supply purified isotope materials under the appropriate regulatory framework, allowing us to engage on commercial offtake opportunities. On the commercial side, customer engagement continues to advance, and our first commercial isotope contract is pending. We are not naming the customer at this stage, but this represents continued movement toward early commercialization of Oklo's isotope platform. The broader read-through is that we are building the pieces required for commercial isotope supply, authorized isotope handling capabilities, purified isotope processing, and commercial supply opportunities. This is the path this lab is intended to support. Before turning it over to Craig, I want to briefly highlight our board of directors. As Okla moves from development into execution across multiple assets, we continue to build the board with experience aligned to the scale and complexity of what we are doing. Michael Thompson now serves as our lead independent director. We also added Dr. Mark Peters, David Christian, Derek Khan, and David Park as new directors. These additions bring deep experience executing complex and highly technical projects across energy, industrial, infrastructure, finance, and technology sectors. That breadth matters. We are building a vertically integrated business across fuel, power, and isotopes. Each has significant tailwinds, but each also has distinct execution needs. Adding this type of experience supports our ability to move faster and do more simultaneously as the company scales. With that, I will turn it over to Craig for the financial update and closing remarks. Craig?

CRAIG BELLMER Chief Financial Officer

Thanks, Jake. 2026 has started off strong for the company as we added both strength to our balance sheet and deployment of capital to advance our strategic agenda. In the first quarter, Oklahoma's net loss was \$33.1 million, made up of loss from operations of \$51.2 million and income tax expense of \$3.2 million, offset by \$21.3 million of net interest and dividend income. Our cash use and operating activities in the first quarter of \$17.9 million includes

our net loss of \$33.1 million, primarily adjusted for non-cash charges of \$15.6 million from stock-based compensation, as well as \$0.4 million of other adjustments. Cash used in investing activities was \$359 million, including net cash used for purchases of marketable securities of \$321.2 million following the closure of our successful ATM program in the first quarter. In addition, capital spend of \$32.8 million increased planned property, plant, and equipment growth across all three business units. Other investment activity during the period was \$5 million. We are trending toward our guided ranges we provided for 2026. cash used in operating activities of 80 to \$100 million, as well as cash used in investing activities for the deployment of property, plant, and equipment of 350 to \$450 million, demonstrating Oklo's deployment efforts across our three business units of power, fuel, and isotopes. As we focus on accelerating procurement and construction efforts through the year, we expect to continue to make progress aligned towards these targets. Oklo entered the first quarter with cash and marketable securities of \$2.5 billion, comprising cash and cash equivalents of \$1.6 billion and marketable securities of \$0.9 billion. This balance includes the additional \$1.2 billion of capital generated in the first quarter from the completion of our ATM program. While also generating sizable interest income, this financing provides Oklo with a strong balance sheet, which leaves the company well positioned to benefit from ongoing policy and regulatory tailwinds and to execute on our business plans in 2026 and beyond. Before we move to questions and answers, I'll briefly summarize the why Oklo investment case. We believe Oklo is differentiated by the combination of advanced nuclear power, fuel and fuel recycling, isotopes, and a vertically integrated business model. Our power business addresses growing demand for clean, reliable, always on energy. Our fuel strategy is designed to support deployment while reducing reliance on any single fuel pathway. And our isotope business adds high value opportunities that are complimentary to the broader platform. We are also pursuing licensing pathways that fit the asset and stage of development while early DOE authorized assets helping inform future NRC license deployments. Finally, our potential customer pipeline reflects strong demand across data centers, utilities, industrials, oil and gas, and government applications. Together, these elements support our view that Oklo is building a scalable nuclear platform with multiple paths to value creation. With that, thank you again for joining us. We will now open up the call for questions.

OPERATOR Conference Call Operator

We will now begin the question and answer session. Please limit yourself to one question. If you would like to ask a question, please press star one to raise your hand. To withdraw your question, press star one again. We ask that you pick up your handset when asking a question to allow for optimum sound quality. If you are muted locally, please remember to unmute your device. Please stand by while we compile the Q&A roster. Your first question comes from the line of Ryan Fingst with B Reilly Securities. Your line is now open. Please go ahead.

RYAN FINGST Analyst at B. Riley Securities

Hey, guys. Thanks for taking my question. Maybe I'll start with fuel. You secured supply needed for Aurora INL. And their cycling opportunity looks promising. But curious if you have an update on your fuel procurement strategy for midterm opportunities like the Ohio plants with Meta and what you're seeing from enrichment companies out there and your ability to source fuel from them.

JAKE DEWITT Co-Founder & Chief Executive Officer

Thank you, Ryan. I'll start it and then Craig chime in. I think I appreciate that. Basically, you know, what we see happening in the space is a number of things evolving. We're actively working with enrichers. Obviously, we have a longtime partnership with Centris. We continue to dig in with the enrichment companies to shape the right format and try to figure out the best ways to accelerate their ability to meet supply needs. which we feel increasingly encouraged by. We're seeing timescales and delivery schedules shift to the left for the first time. That's pretty amazing. I think just given the activity in the space helps spur that. Similarly, we're seeing a significant uptick in different opportunities

emerge on the government side for making extra excess materials available. And those are in the form of either basically high-interest uranium that can be recovered and downblended to make high-assay low-interest uranium, or plutonium inventories or stockpiles, surplus plutonium that can be used, blended with uranium and made as a fuel that's equivalent to HALU fuel. The good news about those is those are all materials that can exist with very little spin-up time, or I should say, sort of production time compared to setting up enrichment capacity. And that's something we've long been pushing for and excited to sort of see and see happen because it enables a significant amount of what I think of as a bridge fuel to come to market sooner so for the Ohio plants it's an all sort of hands-on-deck approach working from the fresh fuel perspective as well as looking at other sources from the government to help get those plants started with the idea that they transition to refueling with sort of commercial hailer supplies until recycling comes online and makes sense to use in those areas as well. And that's a key differentiator for us, right? We have intentionally selected a reactor technology and an integrated sort of strategy approach that allows us to source fuel from fresh HALU sources, from government reserves that include uranium and plutonium that can be produced into fuel that can fuel our reactors, as well as recycling, which can produce fuel. um you know fuel form that can you be used in all reactors and you can't do that across all reactor types it's really unique to fast reactors in many ways uh and that's something that we've been building the infrastructure for really since the beginning and great Jake I think the only thing I would add is in addition to um things that are underway around

CRAIG BELLMER Chief Financial Officer

The government helping on the supply side, it's early days, but it also feels like there's help being provided on the capital side as well. And just to emphasize Jake's point, you know, we think having more than one pathway in the near term, you know, as that bridge to recycling in the longer term is just it makes a lot of strategic sense, which is why we're progressing more than one avenue here.

OPERATOR Conference Call Operator

Your next question comes from the line of Jed Dorsheimer with William Blair. Your line is now open. Please go ahead.

JED DORSHEIMER Analyst at William Blair

Hey, guys. Thanks for taking my question. Jake, can you just talk about some of the challenges and maybe the timing of going from uranium to plutonium in your Pluto reactor? And then also, the advantages that that may provide?

JAKE DEWITT Co-Founder & Chief Executive Officer

For sure. Thank you, Jed, and thanks for the question. I think that's one of the key things here. With a fast reactor system like ours, you can use plutonium as a fuel source. And the way that works is you take the plutonium as it exists, and this is all surplus plutonium that the government produced largely as part of the weapons program in the past. It's been deemed surplus by various activities, not really suitable for use in that program, and was slated for disposition. Well, the best way to dispose of it is to put it in reactors and split it, which is what we're intending to do. And plutonium is a really good surrogate as a fuel form compared to, for example, uranium-235, which is the main fissile isotope in uranium that you enrich to concentrate. So what that means is plutonium exists in a concentrated form today. It's being made available through a program that the government had a request for applications for recently. as moved forward by the executive order back in May, what that would do is pull that plutonium, enable it to basically be used as a fuel form for reactors like ours. And how that works is you take it, you mix it with uranium and zirconium to cast the metallic fuel form. That fuel, in technical jargon, has been deemed or called or referred to as ternary alloy fuel. The long history of research and development in the fast reactor research and development programs in the United States and abroad, it has a deep history to its use and sort of a long supporting qualification

base for that. So long story short, we can use that plutonium as a fuel source instead of helium. which is particularly useful because that material exists and is more readily fabricatable than standing up and spinning up the larger scale payload supply chains in the near term. Over time, obviously, that takes over. But that plutonium, it's a finite reserve, right? It's an unlimited amount of material that we'll use to get started. So we'll build reactors that will start on it and we'll gradually replace it and refuel it with either a high assay load of terranium, HALU that's produced, or the fuel produced from recycling, which is a different type. It has all the transgranics mixed together with terranium and everything else. Either way, it's a really important way to produce a lot of fuel. That 20 tons that the government's request for applications is making available in this first tranche of plutonium is equivalent to between 100 and 60 to 200 tons of, of halo. That's a huge amount of fuel to get started, uh, and help sort of create this bridge that can move a lot more reactors out the door more quickly in terms of challenges. There are some challenges with it, but, uh, They're manageable from the sense that we've used this before in fast reactors. We know how to manage its usage, and it's a great fuel source. So it's one of those things that from a handling perspective and from other pieces, you manage to do that a little bit differently. But it's something, again, there's a long history base of in the United States, and we know how to deal with. It's just an incredibly powerful resource to kickstart building more reactors more quickly.

OPERATOR Conference Call Operator

Your next question comes from the line of Brian Lee with Goldman Sachs. Your line is now open. Please go ahead.

BRIAN LEE Analyst at Goldman Sachs

Hey, guys. Good afternoon. Thanks for taking the questions. I just wanted to go back to one of the slides. You know, this part 57 overview was helpful. Jay, can you maybe frame for us kind of, you know, expectations around timing for that and then It does sound like maybe as part of that the DOE to NRC licensing conversion could be facilitated. Is that the right read or then how should we think about this in the context of transitioning to NRC licenses from the DOE authorization?

JAKE DEWITT Co-Founder & Chief Executive Officer

Yeah, it's a great question. Thank you. I think the general view, just to clarify, make very clear, from how the framework for converting from DOE to NRC authorization has been mapped out and planned is accommodating to a number of licensing pathways in the NRC, if that makes sense. Like at the end of the day, the focus is going to be on how do you best transition an operating asset to an operating reactor. And that process will be developed, but it can fit into a number of different frameworks, 57 being one of them. The way we see Part 57 is a culmination of a lot of work of regulatory engagement to drive the NRC to a more, I would say, performance-based regulatory platform and foundation. It's something that is kind of the fruits of labor spanning back over a decade, which is great to see. What I mean by that is not just the fruits of local labor. I mean the fruits of the labor of the whole industry and the NRC and the government to come up with a better framework. that is focused on recognizing the actual sort of hazard and consequence profile of reactors and not laying over massive prescriptive overlays, which is pretty significant and sort of, I would say, streamlining and focusing the regulations on what matter. 57's timeline for implementation is something that I know is going through a period of As I understand it, a public comment period. I don't know the exact details on when that's going to expect it to be rolled out. But based on the timelines that the NRC has put all of that forward, I think they're expecting that to be ready to be usable here as soon as later this year. It's possible that there may be some reasons that that moves a little, but I think that's the intent. And I think that's the general timeline target. And so I think that's pretty powerfully important. So it's a great platform that our reactors can be slotted into. We're generally quite excited about it. There's obviously an iterative dynamic that needs to be accommodated. It's going to be great, but I'm sure there will be ways to make it even better. And that's something that we're going to be

eagerly engaged on. But again, I think what's really important is This is a massive step forward based on what had been looked at in the past and discussed for a long time. And to see it more or less codified like this is incredibly encouraging for us at Oklos in particular. Given the amount of time we've sort of taken, the amount of work we've put in to really try to modernize regulations going back since our founding and seeing some of those concepts and ideas sort of change. come to light like this is pretty dang exciting. So I think it's a great platform that we'll tend to use most likely for most of our plants going forward and most likely to convert through our INL. Of course, it depends on a number of the final details that come to bear, but we're pretty excited about it.

CRAIG BELLMER Chief Financial Officer

And Jake, I'm not the engineer in the firm, but what really excites me about it is, you know, it almost feels like it, you know, it really aligns with the strategy we've always had. You know, Jake talked about In his speaking points about fleet-based licensing, we've always had the plan to deploy a fleet of assets. We've always talked about our safety profile and our passive safety characteristics with low consequences. And Part 57 is really an enabler for that sort of design. And I think the other thing that maybe excites me from an efficiency standpoint is it is trying to take unnecessary steps that have already been done in one process and and leverage that. So I think there's just a lot of really positive things to take away for our powerhouse business as it relates to part 57.

OPERATOR Conference Call Operator

Your next question. Please continue.

JAKE DEWITT Co-Founder & Chief Executive Officer

I'm sorry. I was just going to add. I'm so sorry. I'll just tie on to that. I think Greg hits this, and I think one of the things that's just very valuable about 57 is it is a culmination of a lot of work done dating back that spans things we were putting forward in our pre-application activities starting in 2016, work that the industry was working on from a few years after that kind of onward. So it's very – again, it's very encouraging, and I think –

OPERATOR Conference Call Operator

well it's exciting to see it come to bear like this because i think it's going to be quite transformative your next question comes from the line of sharif el maghrabi with btig your line is now open please go ahead noon uh for the pgm interconnection request do you have a sense for the turnaround time on that and um

SHARIF EL MAGHRABI Analyst at BTIG

Does approval come irrespective of where you are in the NRC regulatory process?

JAKE DEWITT Co-Founder & Chief Executive Officer

You know, I don't have the best answer for the timeline on the interconnection request timescales. I don't know, Craig, if you do.

CRAIG BELLMER Chief Financial Officer

I think the way I would say it is it's measured in, you know, months, if not more than a year. And my understanding is that it's somewhat disconnected from our regulatory process.

JAKE DEWITT Co-Founder & Chief Executive Officer

Yeah, and on that part, definitely disconnected from the nuclear regulatory part.

CRAIG BELLMER Chief Financial Officer

So we think what we've done around PJM, it's really an important action just to make sure that we're thinking about the interconnection relative to all of our other critical path items as it relates to Aurora, Ohio.

OPERATOR Conference Call Operator

Your next question comes from the line of Jeffrey Campbell with Seaport Research Partners. Your line is now open. Please go ahead.

JEFFREY CAMPBELL Analyst at Seaport Research Partners

Hi, guys. Thanks for taking my call. Jake, I just wanted to understand what's the, regarding the strategic partnership project with Battelle to integrate the AI, and you also have one with NVIDIA at LANL. Could you sort of synopsise What the goals of each program are, how they differ, if there's any synergies.

JAKE DEWITT Co-Founder & Chief Executive Officer

Thanks. Yeah, they're complementary, a bit different, but they focus on bringing forward some of the state-of-the-art modeling and computational capabilities, frankly, from an AI-driven perspective. kind of workflow, an agentic workflow perspective to support our reactor design and development works. And we're putting it to work on our Pluto reactor, which is a plutonium fuel variant and is quite accelerative. So the NVIDIA LANL1 It's a great setup. Los Alamos is kind of the premier plutonium laboratory. NVIDIA is working with us and them to help bring forward some state-of-the-art capabilities on various aspects around plutonium chemistry and material handling and management. That's going to be very, I think, constructive and moving certain processes and technology considerations forward. So I'm pretty excited about that. It's going to also help us streamline and accelerate how we can manage some of the plutonium, I would say, material costs. I guess, frankly, it's really the processing out from some of the stuff that might be coming in in an oxide form or different forms that need some purification around it. Just given us almost an experience there and NVIDIA's capabilities and our capabilities, it's just a great way to work together to actually apply some of these, frankly, phenomenal compute capabilities to get insights and accelerate the technology development process and accelerate the trial and error considerations there, which is huge. In terms of time savings and increasing throughput and forming sort of design of material handling that allows us to get deeper into the inventory of some of that surplus plutonium and be able to turn it into fuel more quickly. There's a lot more to unpack there for time's sake. I'll kind of leave it at that and then move over to the INL one. which is a focus on us partnering with them to use some incredible capabilities they built around agentic AI workflows for reactor design and analysis all the way out through aspects of licensing and manufacturing and construction. What that is, is effectively it's like using their tools to create effectively reactor design teams that are AI reactor design teams to help us do more with less because all of the exciting things we have going on, finding ways that are significant levers for our engineering team to do more with less is going to help us take advantage of all of these opportunities that are in front of us. And partnering with INL has been kind of the home of this suite of reactor design and modeling tools and being able to tie that into some of the really cool stuff they've been working on for a bit on driving AI development frankly, Gen Tech designers, is hugely enabling. Because when you think about reactor design, a lot of work turns into doing kind of multi-physics optimization. And now you can put all that in a single place and get a ton of information out really quickly by just firing it off and letting it run for a long time. Which helps us define, explore, and then iterate down on and optimize towards the design spaces much more quickly. And also gain a lot of insights in the process accordingly to reduce then the design space accordingly and make it even basically faster the next time. So we're kind of the, I guess we're the vanguard of doing this with INL. We've been working with them for a few months on setting this up to see what we could do and what could be possible and very excited about that. So basically it's going to be applying their reactor design and analysis tools and things we've built together And then tying that in from an agentic AI reactor design workflow or team, if you will, that now allows us to apply that into the Pluto program to accelerate the design work

there for what we can do on the reactor front there. We also expect that to span out to other design efforts, but that's the one where it's kind of the easiest natural tie-in to start. But I think it's going to be really helpful in us doing more, more quickly, frankly, with less, because that's really important. Yeah.

CRAIG BELLMER Chief Financial Officer

And Jake, you know, what excites me is, you know, further down the road when we have a fleet of assets running on more than one fuel, I can see a world where we're trying to optimize, you know, minimum amount of fuel in for maximum amount of power for longest duration between refuelings. So building out this sort of capability now, I think, is just going to have further applications on down the road.

OPERATOR Conference Call Operator

Your next question comes from the line of Sameer Joshi with HC Wainwright. Your line is now open. Please go ahead.

SAMEER JOSHI Analyst at H.C. Wainwright

Hey, Jake. Hey, Craig. Thanks for taking my question. The Aysen Air Force Base CoGen facility is 15 megawatts. That's a different model than your 75 megawatt standard. How does that development differ or is similar to what you're doing with the 75 megawatt? And is there a Department of War or Department of Defense pathway as well to work for this?

JAKE DEWITT Co-Founder & Chief Executive Officer

Yeah, it's a great question. It builds off the experience from the basically what we've done from the past. If you go back to our earlier design iterations of the Aurora when we were smaller, it basically picks up on those and it's a carryover into the Pluto project, which was carried into the Pluto project, which then carries over into the Aurora side. Given the size of that, it's more about the thermal power output, especially given the steam needs rather than the electric side. This is less of a comparison on electric power, more on thermal power. So it's a 60 megawatt thermal power plant that will be designed to go up there. And we see that being a pretty important piece that naturally fits off of our kind of product roadmap and evolution because it has a lot of common carryover. There's some differences, of course, between the Aurora plant product line that's focused on the sort of 75 megawatt plus data center side and then this but this has been core to some opportunities we've seen defense and then other industrial applications uh it ties over pretty constructively there um it uses the same fuel form and size and dimensions actually just a bit less and then a bit of a smaller vessel with smaller sort of plant footprint because it's smaller you need you know smaller piping and small heat exchangers but all the same technology pieces and in many cases we expect the same vendors Which, generally speaking, I think is helpful. And again, the strategic aspects of the Department of War's needs are pretty important to be able to match into, and this gives us that flexibility. The other piece that I think is important from that is, again, it shows the opportunity around the cogeneration side. You know, going back, I remember in my academic days and Caroline's academic days, there's a lot of excitement around high temperature reactors to produce process heat. But when you really dig into the market, the vast, vast, vast majority of the market is going to be served by steam temperatures under 450 degrees centigrade. um and then the other big like sort of the other big there's then there's kind of a moat of application of temperatures above that until you get to very very very high temperatures that make no sense to heat like to to transport so you're going to use other things either combustion or hydrogen or electrified transport because moving you know a couple about like 1500 plus degrees centigrade heat is just really hard and really expensive uh and designing reactor to do so is a So it's kind of cool because it allows us to tie in with a more moderate temperature reactor system and the benefits that that affords us with then being able to serve these kind of process heat applications, which are a massive opportunity, especially since, again, such a huge... percentage of processed seed energy usage is met by sub 450 degree 50 degree steam

and this is a great example of what that looks like now for a lot of those like facilities and plants though this size range plan is very ideal so it's why we've designed it like that and built it from that um it also has benefits from uh different authorization and regulatory pathways potentially however given the part 57 dynamic that's come out um it's most likely very likely that we'll go that path uh with this there given that it has significant benefits and that's been the air force's inclinations but it's important to also note that we're also part of the defense innovation units advancing clear power program the ampi program and that that has some cool uh upside capabilities and benefits for us as well that may tie over to some of these doe dow regulatory uh pathways but at this point The intent and plan for Alston would stick with Part 57, but future defense or Department of War applications might go different regulatory pathway depending on the structure there. This is very much a Pathfinder. It's been clearly communicated that way by the Air Force, by a lot of the stakeholders. It's our view, too. And it's a great place to figure it out.

OPERATOR Conference Call Operator

As a reminder, if you would like to ask a question, please press star one to raise your hand. Your next question comes from the line of Derek Soderbergh with Cantor Fitzgerald. Your line is now open. Please go ahead.

DEREK SODERBERGH Analyst at Cantor Fitzgerald

Yeah, thanks for taking the questions. I'm hopping around calls tonight, so apologies if the question's been asked. I want to start with some commentary from the Nuclear Energy Institute. Sounds like they're considering a plan to potentially finance billions of dollars of long lead time items for nuclear reactors. I was wondering if you can comment on that and what might be the implications on your CapEx assumptions, deployment timelines, if that indeed happens.

CRAIG BELLMER Chief Financial Officer

I mean, I can take this one. So, Derek, you know, it's early days for those sorts of conversations, but we've talked about, we've been very active clearly in the capital markets to make sure that capital is not a constraint for our asset deployment timeline. And we are looking now to explore our government financing options and asset level financing options if the terms and other things make sense. And that could even include supplier financing. But it's good that we're looking at those sorts of things. Just as you said, can that help lower our cost of capital? Can that help accelerate deployment as opposed to something that we absolutely don't need to have to progress our strategic agenda.

OPERATOR Conference Call Operator

There are no further questions at this time. I will now turn the call back to Jake DeWitt, CEO of Oklo, for closing remarks.

JAKE DEWITT Co-Founder & Chief Executive Officer

Great. Thank you. And thank you all for coming in. We're excited to share these updates. I know it's only been about eight weeks since our last one, but it has been a pretty dynamic period, including just in the last few weeks, the release of Part 57. Couple that with the strategic advancements we've been focused on working with our partners in the National Lab ecosystem, as well as across sort of the, I would call it, you know, the AI space. And on top of that, we continue to see this broad mix of significant opportunities and tailwinds come together to be quite supportive for solving through some of the biggest bottlenecks, right? Regulatory is one of the biggest ones that obviously has been focused on, and there's a ton of tremendous work there. Again, the opportunity space around how we can convert the authorization to an NRC license is a clear benefit and advantage because you can take the first build iteration cycles faster on the DOE authorization side and then have a path to bring it over in the right way to the NRC license side while also informing NRC licensing for future work. Again, we continue to ensure both of those and we're taking

both approaches. And then on top of that, We're making steady progress on solving for fuel, which at this point has a multitude of potential pathways that get over and around the challenge of initial fuel loads. And we are uniquely positioned on purpose from a strategic perspective to be able to capitalize on that by using bridge fuel sources that come from different excess materials and inventories, while also working proactively and quickly with suppliers. with our long-term enrichment partners so we're pretty excited about how that space is shaping up and how we're leaning into it and how we're positioned to take make the most out of diversity of fuel sources becoming available um and and finally i think it's really important to highlight that it's an exciting place in time for us to be moving fully into build and execution and iteration mode With the Groves reactor in Texas, we're differentiated in the sense that we've been able to build a reactor from the ground up on a piece of land that had nothing on it. And everything we put into it wasn't prefabricated or just seeing already fabricated fuel the government had or components or building that already existed or a minimum kind of slab and tilt up. It was a... full-on civil construction build for a nuclear reactor with the vessel sourced and fuel sourced and all the components sourced in the supply chain that we needed or made. And we were able to do that and reach substantial completion in 229 days. Something that, frankly, has been a bit impressive if it was just a normal building, much less a nuclear reactor. We're really proud of the theme for how we've done that. We're proving out that some of the key theses we've had, that nuclear doesn't have to be incredibly big or incredibly slow and incredibly expensive. And it can be done in radically different ways by taking the right business model approach, team and structure and solving to do that. And we've got some great experience points already. So it's been very exciting for us to see that progress. We're very excited to then come back soon with even more exciting updates when we see you guys next in a few months. So thank you all for joining us and appreciate the time.

OPERATOR Conference Call Operator

This concludes today's call. Thank you for attending. You may now disconnect.